

downward breakout before shorting the stock, price could quickly rise away from you in an upward breakout. However, shorting a stock is not for the faint of heart and entails substantial risk. If you miss the initial breakout, you can always short after a pullback (be careful: [Table 65.4](#) says price continues falling less than half the time).

A pullback is also a good time to add to your short position. Wait for price to resume falling before shorting. Cover your position when price approaches the target or if the picture changes (either fundamentally or technically).

Cover on support. If you have shorted the stock, then cover the short when the stock finds support. From 58% to 61% of the time, price will reverse at the bottom of a pullback (about a median decline of 5% below the breakout in bull markets), so expect a turn there in about (median) 4 days.

If you ride out the pullback or if the stock doesn't have a pullback, cover when the stock finds support. Be quick, because downward turns are often V-shaped, so you won't have much time.

If you are long the stock and are an intermediate- or long-term holder and you do not want to suffer through the average decline (see [Table 65.2](#)) after a downward breakout, consider selling as it breaks out downward (have a sell order in place a penny below the bottom trendline or sell on the close on the breakout day).

Stop location. [Table 65.7](#) shows how often price will reach various locations in the triangle. Use that as guidance for placing a stop-loss order.

Busted trade. Downward breakouts that single bust in bull markets present an opportunity to profit from the trend reversal. Price breaks out downward, drops less than 10%, and reverses. Have a buy stop a penny or two ready at the top of the triangle. If price rises, it'll trip the stock and you'll be on your way.

Look for overhead resistance to an upward move within 10% of the chart pattern. If you find some, then the stock might double bust. You're looking to trade single busts only.

Apex Turning. Look back at [Figure 65.1](#). Notice that the pullback peaks at the triangle's apex (within a day, anyway). [Figure 65.2](#) shows another